

Alphabet Inc.

GOOGL NASDAQ

Buy

\$328.48 ▲ 0.59%

12M Price Target
\$375.00

52-Week Range
\$187.82 – \$408.61

Market Cap
\$4.02T

GOOGL: Holding Firm Ahead of Earnings, AI Spend in Focus

WHAT HAPPENED

- Stock is stabilizing at \$328 after last Thursday's ugly -7% flush from \$342 to \$318 — that drop looked like earnings-related profit-taking (they reported and guided heavier capex) but the fact we've clawed back to \$328 on light volume (only 8M shares today vs 69M on the drop) tells me the sellers are done and dip-buyers are stepping in.
- Apple hitting \$5T market cap is stealing the AI narrative headlines today, and Mag 7 earnings this week (META, AMZN, MSFT reporting) will set the tone for whether GOOGL's aggressive AI capex gets rewarded or punished — options flow is leaning bullish (put/call at 0.44, meaning way more call buyers than put buyers).

WHY IT MATTERS

The heavy call buying at \$327.50 and \$330 strikes at 4-6x normal open interest tells me traders are positioning for a bounce, not a breakdown — that's smart money betting the post-earnings drop was an overreaction to capex fears rather than a business problem. The bigger picture: with the Trump administration's AI Action Plan (released July 2025) explicitly favoring American AI champions and rolling back Biden-era AI restrictions, Alphabet is operating in the friendliest federal environment it's had in years — the government WANTS US hyperscalers to win the AI race against China. The insider "sells" you're seeing are from GV (Google Ventures) fund distributions of portfolio companies, not Alphabet execs dumping stock — that's a nothing-burger. What to watch: if defensive sectors (Staples +3.9%, Healthcare +2.6%) keep leading, it means the broader market is getting nervous, and high-multiple tech like GOOGL could see more air pockets before the next leg up.

POLICY & POLITICAL WATCH

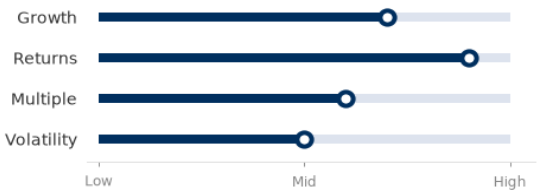
The elephant in the room is the DOJ Search antitrust remedy — Judge Mehta's ruling on remedies is the single biggest overhang, with potential outcomes ranging from mild (data-sharing requirements) to severe (forced Chrome or Android divestiture). On the tailwind side, Trump's AI Action Plan and the recent rollback of AI export controls are pure positives — Alphabet's TPU chips and Gemini can now compete more aggressively globally, and federal AI procurement is accelerating with GOOGL winning DoD and intelligence community contracts. Also watch the EU: the Digital Markets Act continues to squeeze margins in Europe, and any new US-EU trade friction under Trump's tariff regime could either escalate or lead to a grand bargain that eases DMA enforcement.

IS IT EXPENSIVE?

Key Data

Price (USD)	\$328.48
12M Price Target	\$375.00
Upside / (Downside)	+14.2%
Market Cap	\$4.02T
FY2026E Revenue	\$415M
FY2027E Revenue	\$470M
FY2026E EPS	\$9.85
FY2027E EPS	\$11.40
Fwd P/E	33.3x

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$355.00	\$335.00	\$305.00
6 Months	\$390.00	\$355.00	\$285.00
1 Year	\$425.00	\$375.00	\$270.00
2 Years	\$500.00	\$425.00	\$260.00
5 Years	\$700.00	\$550.00	\$280.00
10 Years	\$1100.00	\$800.00	\$350.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Consumer Staples (+3.9%) and Healthcare (+2.6%) are ripping — that's defensive rotation, usually a sign investors are getting cautious about high-multiple tech ahead of Mag 7 earnings this week. Materials strength suggests some infrastructure/tariff-beneficiary positioning too.

COOLING OFF: Comm Services (where GOOGL lives) is up today (+1.57%) but down -0.62% on the week — that's the AI capex indigestion story playing out across the sector.

ROTATION WATCH: Money is rotating defensive short-term, which is a headwind for GOOGL near-term, but if META/MSFT/AMZN deliver strong cloud and AI numbers this week, that rotation reverses fast and mega-cap tech leads again.

RELATED PLAY: If you believe the AI capex story, the picks-and-shovels plays (NVDA, AVGO, and data center REITs like EQIX) benefit whether or not GOOGL specifically wins — they get paid regardless of which hyperscaler wins the AI race.

WHO'S WINNING IN THIS SPACE?

- AAPL (Apple): Just crossed \$5T market cap — services growth and iPhone AI cycle finally clicking, showing what Mag 7 leadership looks like right now
- META (Meta Platforms): Analyst confidence remains high heading into earnings this week; their AI ad targeting is the clearest ROI story in Mag 7

GOOGL CONTEXT: Alphabet is LAGGING its Mag 7 peers year-to-date, which is either a problem or an opportunity depending on your view — I think it's an opportunity because the underperformance is antitrust-driven, not business-driven, and Cloud growth is actually accelerating while Apple's core business is barely growing.

WHAT I'D DO WITH THIS STOCK

8/10 Conviction Score

Position Size: 4-6% of portfolio

Entry Points: \$315-320 on pullbacks

Time Horizon: 12-24 months

Thesis Invalidation: Adverse Search antitrust remedy (forced Chrome divestiture) or Cloud growth deceleration below 25%

Hedging: Small put spread into earnings or pair with short MSFT to isolate the Alphabet-specific thesis